

ZESA HOLDINGS (PVT) LTD



ACCOUNTING PROCEDURE MANUAL

LOANS AND EXCHANGE DIFFERENCES



ACCOUNTING PROCEDURES MANUAL LOANS AND EXCHANGE DIFFERENCES

Table of Contents

<u>SECTIONS</u>	<u>PAGE</u>
1. INTRODUCTION	1
1.1 Purpose and Structure of the Manual	1
1.2 Scope and Objectives	3
1.3 Relationship to Other Systems	3
1.4 Basic Features of the System	4
1.5 Accounting Principles and Policies	4
1.6 Changes and Improvements	5
1.7 Changes and Improvements	6
2. SYSTEMS OVERVIEW	7
2.1 Local Registered Stock Issue	7
3. ORGANISATION	8
4. ACCOUNTING PROCEDURES	9
4.1 Local Loans	9
4.2 Foreign Loans	30
4.3 Calculation of the Current Portion of Long Term Liability at Year End for Inclusion in the Financial Statements	38



APPENDICES

LEDGER

- L.1 ZESA LOCAL REGISTERED STOCK LEDGER
- L.2 FOREING LOANS LEDGER
- L.3 CALL ACCOUNTS LEDGER – LOANS FORMS
- F.1 ALLOTMENT LETTER
- F.2 STOCK CERTIFICATE
- F.3 TRANSFER FORM
- F.4 REGISTER OF TRANSFER
- F.5 CERTIFICATE OF NON-RESIDENTS TAX ON INTEREST (NRTI.2)
- F.6 RECEIPT FOR NON-RESIDENTS TAX ON INTEREST (NRTI.1)
- F.7 RECEIPT

SUNDRY

- S.1 ZESA LOCAL REGISTERED STOCK PROSPECTUS
- S.2 SCHEDULE OF APPLICATIONS
- S.3 ALLOTMENT SCHEDULE (ALPHABETICAL)
- S.4A TRANSFER FORM STAMP
- S.4B STOCK CERTIFICATE 'CANCELLED' STAMP
- S.5 INTEREST SCHEDULE
- S.6 REPAYMENT SCHEDULE
- S.7 MONTHLY INTEREST ACCRUED COMPUTATION SCHEDULE
- S.8 MONTHLY CAPITAL REPAYMENT SCHEDULE
- S.9 QUARTERLY SCHEDULE OF LOCAL LOANS
- S.10 ANNUAL SCHEDULE OF CONTINGENT LIABILITIES
- S.11 ANNUAL LOCAL LOANS AND INTEREST SCHEDULE
- S.12 ANNUAL LOCAL LOANS AND INTEREST SUMMARY
- S.13 ANNUAL SCHEDULES TO THE ACCOUNTS
- S.14 QUARTERLY EXTERNAL LOANS – MINISTRY OF ENERGY
- S.17 FOREIGN LOANS SCHEDULE
- S.18 ANNUAL FOREIGN LOANS CAPITAL AND INTEREST SUMMARY
- S.22 MONTHLY FINANCIAL REPORT



1. INTRODUCTION

1.1 Purpose and Structure of the Manual

1.1.1 The purpose of ZESA Holdings (Private) Limited (ZESA) Accounting Procedures Manual is to detail the accounting policies and procedures adopted by ZESA Group. These accounting policies and procedures are in compliance with the relevant International Financial Reporting Standards (IFRS) and International Accounting Standards (IAS).

- i. IFRS 9 Financial Instruments
- ii. IFRS 16 Leases
- iii. IAS 21 The Effects of Changes in Foreign Exchange Rates
- iv. IAS 23 Borrowing Costs

Compliance with the stated procedures is mandatory except with the specific agreement in writing of the Group Financial Controller.

1.1.2 Copies of this volume are held by the following ZESA Group employees:-

- i. Group Financial Controller (GFC) ;
- ii. Group Finance Manager;
- iii. Finance Directors (Subsidiaries)
- iv. Senior Accountant Loans.

Copies of the Sections manual are issued to employees who are concerned with those sections of each system.



1.1.3 The accounting procedures manual is divided into volumes each dealing with a particular accounting area. Although each volume is complete in itself reference may be required to other volumes to give an overall picture of related systems. The twelve volumes of the manual are as follows:-

1. Presentation of management and annual financial statements
2. Budgeting
3. General ledger
4. Cash management
5. Investments
6. Loans and exchange differences
7. Revenue billing and collection
8. Payroll
9. Stores
10. Fixed assets and depreciation
11. Transport
12. Capital work in progress.



1.2 Scope and objectives

1.2.1 The overall objectives of the accounting system are:-

- i. To ensure that the assets and liabilities of ZESA Group are properly safeguarded, correctly valued and fully recorded in the books of account.
- ii. To ensure that all transactions entered into by ZESA Group are recorded in the books of account.
- iii. To ensure that ZESA Holdings and Subsidiary Companies' Board of Directors and Executive Management of the ZESA Holdings Group are provided with comprehensive, timely and reliable information on the financial performance of ZESA and its subsidiaries, as appropriate.

1.2.2 The objectives of the Loans system are to:-

- Ensure all transactions related to loans and exchange differences are properly accounted for;
- Ensure the prompt receipt of all amounts due to ZESA in respect of loans issued;
- Ensure the prompt payment of capital and interest on ZESA loans;
- Provide management with financial information regarding loans;
- Maintain adequate control over the issue of loan stock and the records regarding individual stockholders.

1.3 Relationship to Other Systems

In order to make the manual more easily understood it has been necessary to briefly describe the documentation and procedures of other departments and systems, or to cross- reference the section to other volumes, or sections. If greater detail is required reference should be made to the appropriate section or volume.



1.4 Basic Features of the System

1. All loans must be authorized by the Board of Directors and accounted for.
2. The system is controlled by the Group Financial Controller/Finance Director.
3. Control accounts are maintained in the Main Ledger.
4. Exchange differences are accounted for at the end of each month.
5. Interest on loans is accrued at the end of each month.
6. The Group Financial Controller and Subsidiary Company Finance Directors are responsible for the allotment of local registered stock.
7. The Finance Managers, Station Accountants and Senior Accountant Loans are responsible for the administration of local registered stock, local loans and of foreign loans.

1.5 Accounting Principles and Policies

The accounting principles and policies adopted for Loans and Exchange Differences are as follows:-

- Interest on loans is brought to account on an accrual basis.
- Interest arising on loans raised to finance qualifying assets is capitalized up to the date of commissioning of the related assets. Thereafter, interest is dealt with in the Profit or loss. (A qualifying asset is an asset that necessarily takes a substantial period of time to get ready for its intended use or sale)
- Foreign assets and liabilities are translated to reporting currency (USD) at the rate of exchange ruling at the end of the month.
- Exchange gains or losses arising from foreign currency loans raised to finance qualifying assets are capitalized up to date of commissioning of the related asset. Thereafter, exchange gains or losses arising on translation are dealt with in the Profit or loss.
- Exchange gains or losses arising from foreign currency loans to the extent that they are regarded as an adjustment to interest costs raised to finance qualifying assets are capitalized up to date of



commissioning of the related asset. Thereafter, exchange gains or losses are dealt with in the Profit or loss.

- Borrowing costs incurred on loans not financing qualifying assets shall be recognized as an expense in the period in which they are incurred.

1.6 RISKS

The company is exposed to interest rate and currency risks on foreign and local borrowings.

1.6.1 Interest Rate Risk

Interest rate risk is the risk to which a company is exposed because future interest rates on its borrowings are uncertain. It is the risk that interest rates might increase in future resulting in increase in finance costs. The interest rates on the ZESA Group loans are currently fixed.

1.6.2 Currency Risk

Currency risk is a form of risk that originates from changes in the relative valuation of currencies. These changes in valuation of loan currencies might result in exchange rate losses which increases the liability of the company. The ZESA Group is currently exposed to currency risk on the following foreign currencies;

- GBP – British Pound
- EUR - Euro
- JPY – Japanese Yen
- CHF – Swiss Franc
- CNY – Chinese Yuan
- RWF- Rwanda Franc
- SEK – Swedish Kroner
- ZAR – South African Rand

Hedging (currency futures, forward and options) can mitigate against the currency risk. The ZESA Group cannot hedge its loan payables as hedging instruments are not available in Zimbabwe.



1.7 Changes and Improvements

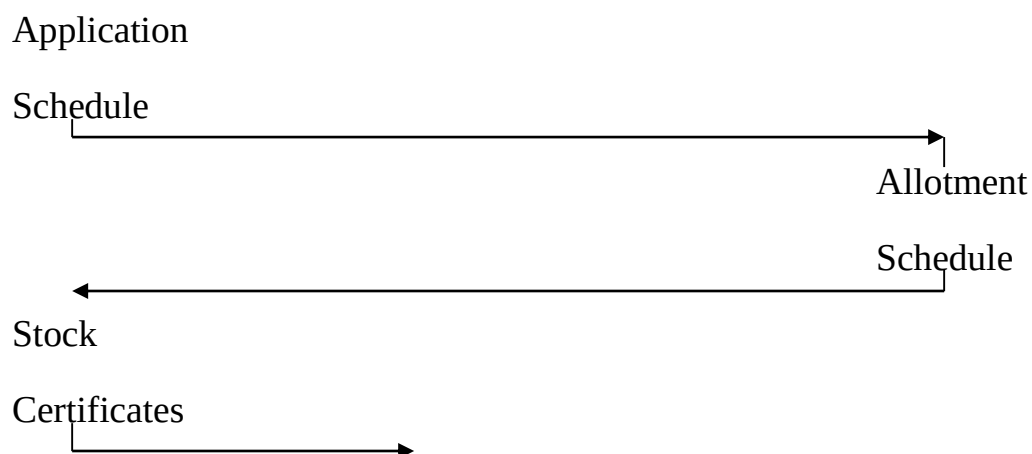
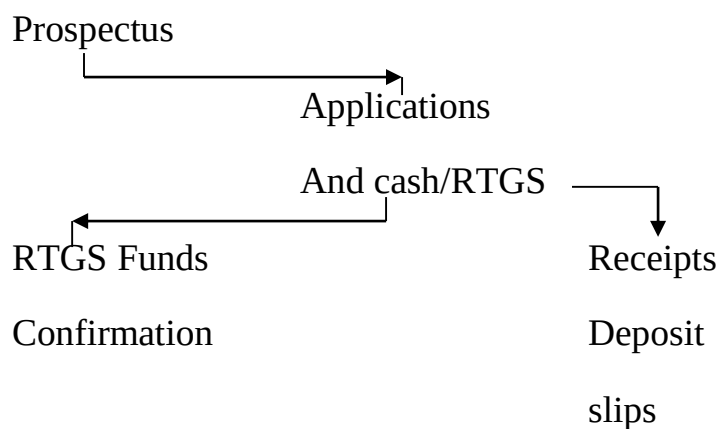
The manual will be updated when necessary to reflect changes in accounting procedures. Suggestions for changes and improvements to the manual should be conveyed, in writing, to the Group Financial Controller whose permission must be obtained prior to any changes being effected.



2. SYSTEMS OVERVIEW

2.1 Local Registered Stock-Issue

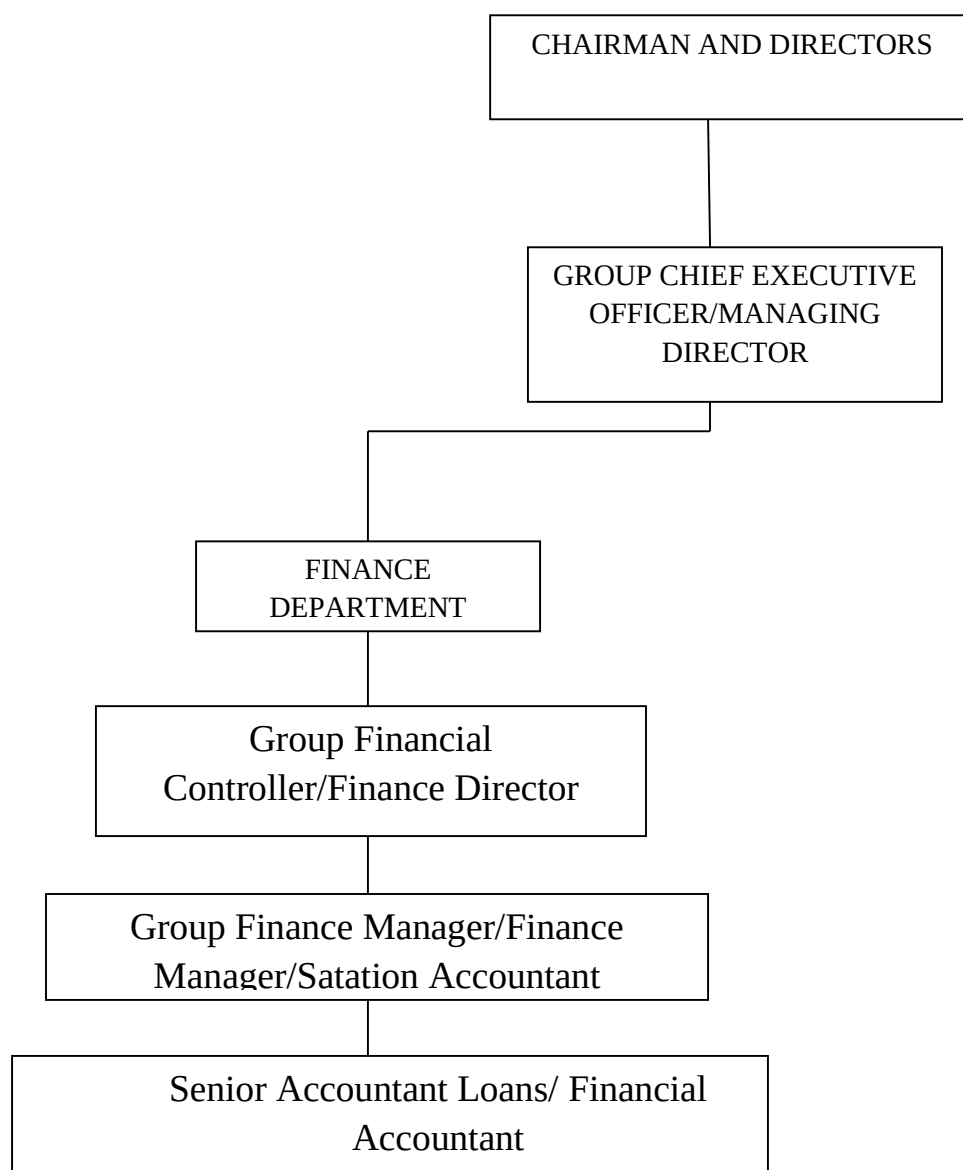
Snr. Accountant	Brokers	Cash	G.F.C/
<u>Loans/Fin Accountant</u>	<u>Public</u>	<u>Office</u>	<u>Finance Director</u>





3. ORGANISATION

An organization chart of the Loans and Exchange Differences system is provided to illustrate how the system fits into the structure of the Finance Department.





4.1 Local Loans

Introduction

Local loans are defined as those borrowings raised within Zimbabwe and are repayable in local currency within Zimbabwe. Options available to the ZESA Group to raise loans are the following among others:

- Fiscal Support
- Government on-lent loans
- Bills
- Bonds
- Commercial paper
- Local Registered Stock
- Private Loans

At present these local loans comprise the following types:-

- Government of Zimbabwe
- Borrowings from local banks

The administration, the repayments and interest payments of the Government of Zimbabwe and borrowings from local banks are controlled by the Senior Accountant Loans/ Financial Accountant/ Accounting Officer.

4.1.1 ZESA Local Registered Stock

4.1.1.1 Issue of Stock

The issue of stock originates with the issue of a Prospectus (Appendix S.1) which sets out the terms of the issue.

Prospective purchasers complete the application form found at the back of the Prospectus headed “Form of Application for Loan Stock” and send it to ZESA/ZPC/ZETDC/Powertel/ZESA Enterprises with



payment or copy of RTGS which will be either the full amount, or ten per cent of the amount applied for.

The application forms and the cheques/ RTGS copies are sent on arrival at ZESA/ZPC/ZETDC/Powertel/ZESA Enterprises to Finance, where the Senior Accountant Loans/Financial Accountant/Accounting Officer carries out the following:-

- Checks that the application forms are correctly compiled returning any applications with errors.
- Writes out a receipt (Appendix F.7) in triplicate allocating the amount to the Miscellaneous Account's column on the receipt. Two copies remain in the receipts book.
- Fills out a deposit slip daily recording the receipt numbers and sends the money for Banking in the prescribed ZESA/ZPC/ZETDC/Powertel/ZESA Enterprises account on the day the loan is floated. After banking, the money is then allocated to the Loans Control Account (61 000).
- Prepares a schedule (Appendix S.2) recording the details of the application forms as follows:-
 - i. Application - Enters the number applicable to the order in which the applications are received.
 - ii. Name and Details- Enters the name of the applicant.
 - iii. Town - Enters the town from which the application originates.
 - iv. Stamp - Enters the name of any members of the Zimbabwe Stock Exchange or institutions registered in terms of the Banking Act (Chapter 24.20)



whose stamp appears on the application form.

- v. Nominal Amount- Enters the amount of stock applied for. Casts the column and enters a total.
- vi. Amount Allotted - Leaves blank – to be completed by the GFC/Finance Director.
- vii. Cheque/RTGS Remitted- Enters the amount of money with Application submitted with the application form. Casts the column and enters a total.
- viii. Balance Payable- Leaves blank – to be completed by due date by the Transfer Secretary once the allotment has been made.

- Submits the schedule to the GFC/Finance Director for allotment.

The GFC/Finance Director completes the “Amount Allotted” column of the schedule and returns the schedule to the Senior Accountant Loans/Financial Accountant/ Accounting Officer.

The Senior Accountant Loans/Financial Accountant/ Accounting Officer carries out the following:-

Completes the Application Schedule (Appendix S.2) as follows:-

- i) Balance payable - Calculates whether the applicant
by due date must pay the balance of the
allotment to ZESA /ZPC/ZETDC/Powertel/



ZESA Enterprises or is to be refunded the difference between the amount paid and the amount allotted. Refundable amounts are indicated by brackets. Casts the column and enters a total.

Note:

The total of the cheque/RTGS plus the balance payable/refundable should equal the amount allotted.

- Draft letters to those subscribers who have paid more than their allotment and therefore will be refunded. Draws the necessary cheques/RTGS and sends the letters and cheques/RTGS to the over-subscribers.

Note (1):

Where for any reason the repayment to subscribers is delayed for an unreasonable length of time (ie more than two days after the closing date) management may decide to pay interest on the overdue amounts. Normally this interest is calculated at the current bank rate.

Note (2):

In order to ensure that these repayments are made promptly, it is important for management to ensure that authorized signatories are available to sign the cheques/RTGS as soon as possible after they have been prepared.

- Prepares Allotment Letters (Appendix F.1) in duplicate, for those subscribers who owe the balance of their allotment as follows:-
 - i. Our Ref - Enters the allotment number from the schedule.
 - ii. Your Ref - Enters a reference number if applicable.
 - iii.198/.. - Enters date.



- Enters the name and address of the subscriber to the left of the date.
 - i. Alloted \$ - Enters the total amount of Stock allotted to the subscriber.
 - ii. Application for Stock - Enters the total amount of stock applied for on the Application Form.
 - iii. Allotment of Stock at \$100 per centum - Enters the total amount of stock allotted to the subscriber.
 - iv. Amount Remitted with application - Enters the amount of money submitted with the application.
 - v. Balance Payable before noon on due date - Enter the amount payable by due date which is calculated by subtracting the “Amount Received” from the “Allotment of Stock.”
 - vi. Endorsement - Obtain the signature of the Group Chief Executive Officer/GFC/Managing Director/ Finance Director.
 - Sends the original copy of the Allotment Letter to the subscriber, and files the duplicate copy in serial number sequence.
 - Re-drafts the schedule of allotments into alphabetical order to help in setting up the Stock Ledger (Appendix L.1)
 - Issues Stock certificates (Appendix F.2) for those subscribers who paid in full and for those who pay by due date.
 - Phones any prospective stockholder who has not paid the balance due two days before the due date to find out the reason for the money not having been received.
 - Compiles a Stock Ledger page (Appendix L.1) for each stockholder as follows:-
 -



- Folio number - Enters the folio number.
(N.B. The ledger pages are in alphabetical order of applicant and numbered. Sequentially commencing at Folio No. 1)
- Stockholder and Registers Address - Enters the stockholders name and address declared on the application form.
- Interest to be Paid to - Enters “As stated” unless the interest is to be paid to someone other than the Stockholder. In this case that person’s name and address is entered.

Two situations can occur when the ledger pages are filled in:-

- The amount received with the application is ten per cent of that subscribed for.
- The amount received equals or exceeds the full amount of the allotment.

Each situation is dealt with as a separate procedure.

The amount received with the application is ten per cent of that subscribed for:-

STOCK ACQUIRED

- i. Date - Enters the date the money is banked.
- ii. Transfer No. - Enters the “Application Number”
referencing the transaction obtained from
the original schedule (Appendix S.2)
- iii. Cert. No. - Leaves blank – to be filled in when a



certificate is issued.

- iv. Old Cert. No. - Leaves blank – not applicable
- v. Amount - Enters the amount of money initially received.

INTEREST

When the remainder of the allotment is received fills in the following details on the relevant ledger sheet:-

STOCK ACQUIRED

- i. Date - Enters the date the money is received.
- ii. Transfer No. - Leaves blank – not applicable
- iii. Cert. No. - Enters the certificate number relating to the issue of the stock.
- iv. Old Cert. No. - Leaves blank – not applicable
- v. Amount - Enters the amount received making up the balance of the allotment.

STOCK TRANSFERRED - Leaves blank – not applicable

BALANCE

- i. Date - Enters the date the money is received
- ii. Amount - Enters the total value of stock held by the stockholder.

INTEREST - Leaves blank – not applicable

The amount received equals or exceeds the full amount of the allotment:-

STOCK ACQUIRED

- i. Date - Enters the date the money is banked.



- ii. Transfer No. - Enters the “Application Number”
from the original schedule (Appendix S.2).
- iii. Cert. No. - Enters the certificate number relating
To the issue of the stock.
- iv. Old Cert. No. - Leaves blank – not applicable
- v. Amount - Enters the amount of the allotment.
- STOCK TRANSFERRED** - Leaves blank – not applicable.
- BALANCE**
- i. Date - Enters the date the money is banked.
- ii. Amount - Enters the amount of the allotment.
- INTEREST** - Leaves blank – not applicable.
- Checks all the ledger pages to the allotment Schedule to ensure that all details agree.

4.1.1.2 Payment of Brokerage to Brokers and Bankers

Brokerage (normally at the rate of 1.125%) is paid to members of the Zimbabwe Stock Exchange and Institutions registered in terms of the banking Act (Chapter 24.20) on all allotments made in respect of applications bearing their stamp. Brokerage is not paid to the above financial institutions in respect of amounts invested on their own behalf.

Once the allotments have been finalized the brokerage becomes payable and the transfer Secretary carries out the following to pay it:-

- Prepares a schedule in duplicate for each broker detailing the following:-
 - Stockholder;
 - Allotment;
 - Brokerage (calculated at the stipulated percentage of the allotment).



- Fills out a requisition for a cheque/ RTGS made out for the amount calculated above, and allocated to Local Loan Charges Account.
- Sends the cheque/RTGS to the broker with a copy of the schedule of brokerage commission.
- Files the duplicate copy of the schedule.

4.1.1.3 Transfer of Stock

Persons wishing to transfer stock fill in a Securities Transfer Form (Appendix F.3), attach the stock certificate and forward it to the Transfer Secretary in the Management Accounting Section at ZESA/ZPC/ZETDC/Powertel/ZESA Enterprises head office.

The Transfer Secretary carries out the following procedures to effect the transfer.

- Stamps the Transfer Form with the stamp illustrated as Appendix S.4.A and completes the required details as follows:-
 - i. Transfer. No. - Enters the transfer number which is Obtained from the “Register of Transfers” sheet (Appendix F.4. Which is in the front of the Stock Ledger. The number will be the next one in sequence.
 - ii. Lodged - Enters the date the Transfer Form is received.
 - iii. Signature Checked - Enters “N/A” if the Transfer Form Originates from an authorized broker Or a banker. Where the Transfer Form is from an individual, checks



the signature on the Transfer Form to the signature on the Application Form. Initials if the signatures agree, or queries the matter if the signatures are different.

- Issues a new Stock Certificate in the name of the Transferee.
 - i. New Cert. No. - Enters the number of the new Stock Certificate.
 - ii. Registered - Enters the date of the new Stock certificate.
 - iii. Initials - Signs
- Stamps the Transfer's Stock Certificate with the "**CANCELLED**" stamp and with the stamp illustrated as Appendix S.4.B then completes the required details as follows:-
 - i. New Cert. No. - Enters the number of the new Stock Certificate.
 - ii. Transfere No. - Enters the transfer number obtained from the "Register of Transfers" sheet (Appendix F.4.)
 - a. Date - Enters the date
 - b. Initials - Signs
- Files the Transfer Form and the cancelled Stock Certificate in Transfer Number order.
- Fills in the "Register of Transfers" sheet (Appendix F.4) as follows:-
 - i. Folio - Enters the number applicable to the sheet number.



- ii. Date - Enters the date of the transfer.
- iii. Transferor - Enters the name of the person transferring the stock.
- iv. Transferee No. - Enters the next no. in sequence on the “Register of Transfers” Sheet.
This number is used to reference the transfer on the transfer authorizing documents.
- v) Cert No. - Enters the number of the stock certificate (bearing the name of the transferor) that has been cancelled.

TRANSFEE

- i. Name - Enters the name of the transferee.
- ii. Address - Enters the address of the transferee.
- iii. Amount - Enters the value of the certificate.
- iv. New Cert. No. - Enters the number of the stock certificate bearing the name of the transferee.

FOLIO

- i. Transferor - Enters the Stock Ledger page number from which the stock is being transferred.
- ii. Transferee - Enters the Stock Ledger page number to which the stock is



transferred.

- Turns to the Transferor's Folio page number in the Stock Ledger and fills in details of the transfer as follows:-

STOCK TRANSFERRED

- | | | | |
|------|-----------------------|---|---|
| i. | Date | - | Enters the date of the transfer. |
| ii. | Transfer No. | - | Enters the transfer number
Referencing the transfer. |
| iii. | Transferred Cert. No. | - | Enters the number of the stock
Certificate (bearing the name of
The transferee) that has been
issued to replace the cancelled. |
| iv. | New Cert. No. | - | Enters the number of the stock
Certificate (bearing the name of
the transferee) that has been issued to
replace the cancelled one. |
| v. | Amount | - | Enters the value of the stock
recorded on the Original
certificate. |

BALANCE

- | | | | |
|-----|--------|---|--|
| i. | Date | - | Enters the date the transfer is
effected. |
| ii. | Amount | - | Enters the balance of stock
remaining, if any, after the
transfer. |



- Prepares new ledger page for transferee (if necessary).
- Turns to the Transferee's Ledger page in the Stock Ledger and fills in details of the transfer as follows:-

STOCK ACQUIRED

- | | | |
|-------------------|---|--|
| i. Date | - | Enters the date of the transfer. |
| ii. Transfer No. | - | Enters the transfer number
referencing the transfer. |
| iii. Cert No. | - | Enters the number of the New
1. Stock Certificate bearing the
name of the transferee. |
| iv. Old Cert. No. | - | Enters the number of the cancelled
Stock Certificate bearing the name of
the transferor. |
| v. Amount | - | Enters the value of stock recorded
on the New Stock Certificate. |

BALANCE

- | | | |
|------------|---|---|
| i. Date | - | Enters the date |
| ii. Amount | - | Enters the balance of stock held
by the stockholder after the
transfer. |
- Sends Transfer Form and Certificates (old and new) together with Stock Register to Group Finance Manager/Finance Manager/Treasury Manager for checking of transfer, initialing as correct, signing new certificate, returning register and forwarding certificate to the GFC/Finance Director for second signature.
 - Sends the New Stock Certificate to the Stockholder.

Note:

- If the transfer was initiated by a broker or a bank, the new certificate would be sent to the institution concerned for forwarding.
- Updates the Interest Payable Schedule to cancel the Transferor Stockholder and record details of the Transferee Stockholder.
- Updates the addressograph by removing the old address plates, preparing new ones and filling them in the relevant loan tray.

4.1.1.4 Interest Payable on ZESA/ZPC/ZETDC/Powertel/ZESA Enterprises Local Registered Stock Loans

Interest on Stock is accrued monthly and paid twice yearly in accordance with the interest rates set out in the prospectus. Fourteen days prior to the date on which the interest payments are due the Stock Ledger is closed to any transfers.

Interest payments are made against a Bank account run on an imprest system. The cheques/RTGS for this account are under the control of the Transfer Secretary.

- Obtains signatures for the cheques/RTGS from authorized signatories.
- Prepares RTGS and certificates of Non-Residents Tax on Interest withheld by payer (NRTIT.2) forms (APPENDIX F.5) for non-residents.
- Places all stockholder's cheques, RTGS and NRT1.2 Forms as relevant in to envelopes and posts them one day before due date.
- Requisitions for and obtains a cheque /RTGS for the total interest amount which is deposited in the bank imprest account on the due date.

- Enter the details of interest paid on to the relevant Stock Ledger Sheets as follows:-
 - i. Date - Enter the date the interest is paid.

 - ii. Cheque No./RTGS - Enter the cheque /RTGS number



on which the interest is paid.

iii. Amount - Enters the amount of interest paid.

- Fills out a Receipt for Non-Residents Tax on Interest form (NRT1.1) (Appendix F.6).
- Sends the NRT1.1 with the cheque/ RTGS for the 10% Non-Residents tax deduction and a covering letter to the Collector of Taxes.
- Reconciles the Stock imprest account from the bank statements as and when necessary.
- Traces holders of outstanding cheques/RTGS and tries to clear them.
- Prepares a Journal Voucher to transfer any outstanding cheques that have become stale and where the stockholder cannot be traced, to the “Unclaimed Stock Interest” account.

The following Journal is prepared:-

Interest Accrual

Debit	Local Loans Interest Expense
Credit	Interest Accrued on Local Loans

Interest Payment

Debit	Interest Accrued on Local Loans
Credit	Bank

4.1.1.5 Redemption Stock Capital

When Stock is to be repaid a similar procedure to that used for the payment of interest is followed.

The Transfer Secretary carries out the following:-

Prepares a schedule (Appendix S.6.) as follows:-

- i. Stockholder - Enters the name of the Stockholder.
- ii. Nominal - Enters the amount of Stock that



is due for redemption. Casts the column and records the total.

iii. Interest - Enters the amount of interest that is due for payment on the due date. Casts the column and records the total.

iv. Redemption - Enters the total amount to be paid on the due date to the Stockholder, Calculated by adding the nominal and interest amounts together. Casts the column and records the total.

- Writes to the Stockholders or their representatives six weeks before the redemption date requesting that their stock certificates be sent to ZESA/ZPC/ZETDC/Powertel/ZESA Enterprises head office. The letters detail the certificate number and the amount of stock held.
- Prepare cheques/RTGS for each stockholder using the imprest account.
- Sends the cheque/RTGS to the stockholder on due date provided the stock certificate or a signed form of indemnity has been received.
- Prepares cheque/RTGS requisition for total amount payable (i.e. nominal and interest) plus deposit slip – to be deposited at the Bank imprest account, on due date.
- Files all returned certificates in numerical sequence.
- Advises the Zimbabwe Stock Exchange once all the stock redemptions have been made, so that the relevant loan may be removed from their listing.

The following Journal is prepared:-

Stock Redemption

Debit	Local Loans
Credit	Bank



4.1.2 Local Borrowings

4.1.2.1 Recording Loan Transactions

Once the loan agreement has been signed and all conditions precedent are met the amount of the loan will be made available for drawing down to ZESA/ZPC/ZETDC/Powertel/ZESA Enterprises.

Depending on the type of the loan, the whole loan amount might be transferred to company's bank account or disbursements will be effected per application as per loan agreement

If the amount is transferred to company's bank account the following procedures are followed:-

a) Records Office

The cheque/RTGS details are recorded in the register to record that the amount of the loan has been received. The cheque/ RTGS is then sent to the GFC/Finance Director before it is forwarded to the Senior Accountant Loans/Finance Manager/Financial Accountant.

b) Senior Accountant Loans/Financial Accountant

The Senior Accountant Loans /Financial Accountant:-

- Checks that the cheque/RTGS is related to a local loan.
- Obtains a copy of the Loan Agreement.
- Enters details of repayment dates and amounts, interest payment dates and the interest rate on the Local Loans Schedule (Appendix S.11).
- Writes the allocation of the loan to the Ledger Account "Long Term Loans – Local" on the reverse side of the cheque/ RTGS form.
- Sends cheque to Cash office/confirm receipt of RTGS funds into the bank then post the loan amount to the Ledger Account.



c) The Receipts Clerk:-

Issues a receipt for the cheque and the cheque is banked.

4.1.2.2 Disbursements per application

The Senior Accountant Loans /Financial Accountant/Accounting Officer prepares loan disbursement application in accordance with the loan agreement attaching all necessary documentation. The application is sent to the lender and if in order, lender disburses funds as per application and sends confirmation to the borrower.

After receipt of confirmation of the disbursement from the lender or receipt of the funds into the company's bank account the Senior Accountant Loans /Financial Accountant/Accounting Officer updates the loans schedule (Appendix S.8) and loan drawdown schedule (Appendix S.16).

The following Journal is prepared:-

Debit	Bank/Asset /Creditor
Credit	Local Loan Capital

4.1.2.3 Local Loan Interest Computation

Interest is accrued at the end of each month as per loan agreement.

(See Appendix S.7)

4.1.2.4 Capital Repayments and Interest Payments on Local Loans

The Senior Accountant Loans /Financial Accountant/Accounting Officer maintains a schedule of all Local Loans and controls the capital repayments and interest on these loans. The Senior Accountant Loans/ Financial Accountant/Accounting Officer requisitions for payments on the local loans except for ZESA/ZPC/ZETDC/Powertel/ZESA Enterprises Local Registered Stock which is handled by the Transfer Secretary. The Senior Accountant Loans/ Financial Accountant/Accounting Officer carries out the following to ensure that capital repayments and interest payments are made promptly:-



- Maintains a file of all loan agreements, recording any adjustments to the agreement conditions e.g. interest rates in the file.
- At the beginning of each financial year uses the Local Loans and Interest Schedule (Appendix S.11) to draw up a schedule detailing the payments (capital and interest) that have to be made each month for the next year.

Note

The Local Loans and Interest Schedule is used as it will be correct having been reconciled to the Main Ledger and the individual loans agreed to Certificates of Balance for year-end financial statements purposes.

- Monthly cheques/ RTGS necessary to pay the particular month's capital and interest payment due.
- Checks that any payments to be initiated by the Transfer Secretary have in fact been made.
- Draws up the monthly, quarterly and annual schedule as applicable. See 4.1.3 of this manual for details of all schedules required.

4.1.3 Schedules Requested by Management

The Senior Accountant Loans/Financial Accountant/Accounting Officer prepares the following schedules to provide information to management and the Ministry of Energy and Power Development.

Monthly:

- Interest Accrued Computation (Appendix S.7)
- Capital Repayments (Appendix S.8)

Quarterly:

- Schedule of Local Loans (Appendix S.9)

Annually:

- Schedule of Contingent Liabilities (Appendix S.10)
- Local Loans and Interest Schedule (Appendix S.11)
- Local Loans and Interest Summary (Appendix S.12)
- Schedules to the Accounts (Appendix S.13)



The Appendices describe how the schedules are compiled and give examples of each schedule.

4. ACCOUNTING PROCEDURES

4.2 Foreign Loans

Introduction

Foreign Loans are defined as those borrowings in foreign currency which are repayable outside or within Zimbabwe. The loans are authorized by the Board of Directors, and are formalized in a loan agreement which details the amount of the loan, the terms of repayment and the interest rate. The foreign loans currently relate to loans used to finance various capital expenditure relating to generation, transmission, distribution and fibre optic projects. The contractors performing work on the various projects are paid after consulting engineers/project managers have inspected the work done and issued a Payment Release Certificate.

The Senior Accountant Loans/Financial Accountant/Accounting Officer attaches the payment release certificate to the invoice and makes an application to the lender for direct disbursement to the supplier or disbursement from the call account. Application for disbursement is done in accordance with the loan agreement.

Confirmation of disbursement from lender and payment from call account will provide the basis for:-

- The preparation of the loan drawdown schedule (Appendix S.16)
- The monthly financial reports of expenditure on each project (Appendix S.22) prepared by the Senior Accountant Loans/ Financial Accountant/Accounting Officer; and
- The monthly updating of the Foreign Loans Schedule (Appendix S.8) to record the change of the liability in the foreign loan. The Senior Accountant Loans/ Financial Accountant/Accounting Officer uses this information to prepare the various monthly, quarterly and annual reports and schedules for the Ministry of Energy and Power Development and the ZESA/ZPC/ZETDC/Powertel/ZESA Enterprises Board of Directors.



The Senior Accountant Loans/ Financial Accountant/Accounting Officer maintains a record of repayments of capital and interest payments due. He organizes the necessary foreign currency to make the payments.

The Senior Accountant Loans/Financial Accountant/Accounting Officer checks that the necessary payments have been made and enters details of repayments into the Foreign Loans Ledger.

Monthly all repayments are allocated to the Main Ledger account “Long Term Loans – Foreign”. Monthly the total foreign liability is translated to reporting currency using the month closing exchange rate for that currency and a journal entry posted to the Main Ledger:-

Credit	-	Foreign Liability
Debit	-	Capital Expenditure.

The Senior Accountant Loans/Financial Accountant/Accounting Officer

Calculates any exchange loss or gain for the month and adjusts the “Long Term Loans – Foreign” account as necessary (Appendix L.2).

4.2.1 Recording the Loan Transaction

The Main Ledger account “long Term Loans – foreign” is updated monthly with the information relating to any draw-downs during the financial year. The draw-down figure will be matched by the expenditure on the projects or in the case of a call account the balance being money represented by cash in a call account.

The Senior Accountant Loans/Financial Accountant/Accounting Officer carries out the following:-

- Obtains details of all draw-downs for the month.
- Obtains the exchange rates from the company`s bankers.
- Converts the foreign currency amount to reporting currency at the end of the month.
- Obtains details of all expenditure on projects during the month utilizing loan monies.



Compiles the following journal entry:-

Debit	-	Capital expenditure.
		or
	-	Foreign Call Account with the balance of any unexpended draw- downs.
Credit	-	“Long Term Loans – Foreign.”

Once the “Long Term Loans – Ledger” has been adjusted for exchange differences (see 4.2.5) the balance on the account is reconciled to the Foreign Loans Ledger by the Senior Accountant Loans/Financial Accountant/Accounting Officer.

6.2.2 Recording the foreign loan interest accrual

The agreement sets out the conditions of the loan details, the interest payment dates, interest rate and number of days per month which are used for monthly interest computations. (Interest accrued computation schedule – Appendix S.7)

Compiles the following journal entry:-

Debit	-	“Foreign Loans Interest Expense”.
Credit	-	“Foreign Loan Interest Accrual”.

4.2.3 Repayment of Foreign Loan Capital and the Payment of Interest on

Foreign Loans

The agreement which sets out the conditions of the loan details, the dates and amounts of the repayment of loan capital, and on these dates interest payments are made.



The Senior Accountant Loans/Financial Accountant carries out the following procedures to ensure that the loan repayments and interest payments are correct and paid on time:-

- Maintains a monthly schedule of foreign loans with the repayment dates and interest due. Regularly checks for payments that are due in that month
- Writes to the lender six weeks before the date payment is to be made to request confirmation of the amount owing and the interest due.
- Checks the repayment and interest payable on receipt of the confirmation.

Note:

Certain loans have a fluctuating interest rate. For these loans the Senior Accountant Loans/Financial Accountant is reliant on the lender for a schedule of interest payable which is then checked for the correctness of the rates used and the calculations.

- On due date the Senior Accountant Loans/Financial Accountant sources the required foreign currency from various banks to obtain competitive exchange rate.
 - Obtains confirmations from the bank with the following details of the payment:
 - The foreign currency amount;
 - The rate of exchange;
 - The local currency amount
- Enter these details into the foreign loans schedule (Appendix S.17)
- Prepare a cheque/ RTGS of the local currency amount equivalent to the foreign currency sourced:-
 - The capital repayment is allocated to the “Long Term Loans – Foreign” Ledger Account.
 - The interest payment is allocated to the “Foreign Loan Interest Accrual” Ledger Account.



- The Senior Accountant Loans/Financial Accountant carries out the following to check that repayments of loan capital and interest payments have been made:-

4.2.4 Schedules and Reports Required by Management

The following reports and/or schedules relating to the foreign Loans are prepared:-

By the Senior Accountant Loans/ Financial Accountant

Monthly

Interest Accrued Computation Schedule	(Appendix S.7)
Loan Drawdown Schedule	(Appendix S.16)
Foreign Loans Schedule	(Appendix S.17)
Financial Report	(Appendix S.22)

Quarterly:

External Loans	(Appendix S.14)
Schedule of Foreign Loans	(Appendix S.15)
Schedule of contingent Liabilities	(Appendix S.10)

Annually:

Schedule to the financial Statements	(Appendix S.13)
Foreign Loans Capital and Interest Summary	(Appendix S.18)

4.2.5 Exchange Differences

Exchange difference is the difference resulting from translating a given number of units of one currency into another currency at different exchange rates. Exchange rate is the ratio of exchange for two currencies e.g. 1 Eur =1.2959 USD



A foreign currency transaction shall be recorded, on initial recognition in the functional currency, by applying to the foreign currency amount the spot exchange rate between the functional currency and foreign currency on the date of the transaction.

At the end of each month foreign currency monetary items shall be translated using the closing rate.

4.2.5(i) Exchange Differences on Foreign Loans

Exchange differences on foreign loans arise when exchange rates of the foreign currencies of the loans change from those applicable on the dates at which the liabilities arose. (See Appendix S.17)

1. Asset under Construction:

-Exchange differences on principal amount are capitalized i.e. included as part of work-in progress whether realized or unrealized.

-Exchange differences on interest relating to a qualifying asset are capitalized i.e. included as part of work-in progress whether realized or unrealized.

The journal is compiled as follows:-

Loan Capital Exchange Differences:

Debit	Asset under Construction
-------	--------------------------

Credit	Foreign Loan Capital
--------	----------------------

Interest Exchange Differences:

Debit	Asset under Construction
-------	--------------------------

Credit	Foreign Loan Interest Accrual
--------	-------------------------------

2. After completion or commissioning of plant, exchange differences are dealt with in the profit or loss.



4.2.5 (ii) Exchange Differences on Purchases

Exchange differences may also arise on payables. The exchange differences arise because of the difference of exchange rate between the date of transaction and the date of payment.

Transaction	Date	Amount	Currency	Exchange Rate	Reporting Currency Equivalent (USD)
Purchase	30.11.20XX	1500	EUR	1.3005	1950.75
Payment	31.12.20XX	1500	EUR	1.2959	-1943.85
Exchange difference-(gain)/loss					6.9

A journal is compiled as follows:-

Debit	Foreign Creditor
Credit	Realised Exchange Rate Gain

At the end of month if the creditor has not been paid a revaluation of the amount is performed.

Transaction	Date	Amount	Currency	Exchange Rate	Reporting Currency Equivalent (USD)
Purchase	30.11.20XX	2000	EUR	1.3005	2601
Payment	31.12.20XX	2000	EUR	1.4201	2840.2
Exchange difference-(gain)/loss					239.2



A journal is compiled as follows:-

Debit Loss - Unrealised Exchange Rate Differences

Credit Foreign Creditor (274000 Balance Sheet

Adjustment account)

4.2.5 (iii) Exchange Differences on Bank balances

Exchange difference may also arise on bank balances. Foreign currency account balances must be converted to reporting currency at the end of each month.

STANBIC ZAR ACCOUNT FOR THE MONTH OF NOVEMBER 20XX					
DATE	COMPANY	AMOUNT	ACC BALANCE	EXCHANGE RATE	USD AMOUNT
	BALANCE B/F		26002309		30063.6
01/11/20XX	ZIMPLASTS	307701.72	567724.81	8.6776	35459.31
05/11/20XX	ARCHER CLOTHING	(782.63)	566942.18	8.7684	(89.26)
29/11/20XX	RIVER RANCH	(20553.00)	546389.18	8.8252	(2328.90)
30/11/20XX	BALANCE AT 31/10/20XX		546389.18		63104.76
30/11/20XX	BALANCE C/F		546389.18	8.7747	62268.7
	EXCHANGE(LOSS)GAIN				(836.05)

Transactions are converted at the transaction date exchange rate

Calculate/ run SAP report FAGL_FC_VAL-POST the loss or gain in reporting currency on the bank balance for the month as follows:-

Balance at the beginning of the month	xxx
Add: Total deposits for the month	xx
Deduct: Total payments for the month	<u>xx</u>
Balance	xx
Deduct: Converted foreign currency balance	
at closing rate for the month	<u>xx</u>



Loss/ (Gain) for the month

xx

4.3 Calculation of the Current Portion of the Long-Term liability at Month End for Inclusion in the Financial Statements

a) Foreign Loans

The Senior Accountant Loans/Financial Accountant/Accounting Officer carries out the following procedures monthly to calculate the short term liability portion of the foreign loans.

- Examines each loan agreement at the end of the month and extracts details of the repayments to be made in the next year.
- Prepares a schedule of the details as follows:-
 - i. Loan - Enters the name of the loan.
 - ii. Balance Outstanding at month end - Enters the balance outstanding on the loan at the end of the month.
 - iii. Repayments During the next year - Enters the foreign currency amounts due to be paid during the forthcoming year as repayment of capital.
 - iv. Rate of Exchange (ROE) - Enters the ROE at the month end applicable to the currency of the loan.
 - v. Repayment During the Next Year - Converts the foreign currency amount to reporting currency Using the ROE. Casts the Column to obtain a total –



‘Current Portion of Long-Term Loans – Foreign’.

Submits the total to the Management Accountant.

b) Local Loans

The Senior Accountant Loans/Financial Accountant/Accounting Officer carries out the following procedures annually to calculate the short-term liability portion of the local loans.

Examines each loan agreement at the end of the financial year and extracts details of the repayments to be made in the next year.

Prepares a schedule of the details as follows:-

i. Loan	-	Enters the name of the loan.
ii. Balance outstanding at month end	-	Enters the balance outstanding on the loan at the end of the year.
iii. Repayments During the next year	-	Enters the total of the repayments to be made during the forthcoming year. Casts The column to obtain a total “Current Portion of Long-Term Loans – Local”.

Submits the total to the Management Accountant.

The Management Accountant performs the following while preparing the annual financial statements:-



- Adds the Current Portion of Foreign Loans to the Current Portion of Local Loans.
- Subtracts the total “Current Portion of Long-Term Loans’ from the “Total Loans’ figure in the notes to the Accounts.
- Shows the “Current Portion of Long-Term Loans’ under current Liabilities on the Balance Sheet therefore indicates the long-term liability of the loans.

APPENDICES

LEDGER

- L.1 ZESA LOCAL REGISTERED STOCK LEDGER
- L.2 FOREIGN LOANS LEDGER
- L.3 CALL ACCOUNTS LEDGER - LOANS



APPENDIX S.5

INTEREST SCHEDULE

Stockholder	Stock Held	Interest Payable
X.....X	XX XXX	XXX XXX
X.....X	XX XXX	<u>XXX XXX</u>
	TOTAL\$	<u>XXX XXX</u>



APPENDIX S.6

REPAYMENT SCHEDULE

<u>Stockholder</u>	<u>Nominal</u>	<u>Interest</u>	<u>Redemption</u>
X.....X	XXX XXX	xxx	xx xxx xxx
X.....X	<u>xxx xxx</u>	<u>xxx</u>	<u>xx xxx xxx</u>
TOTAL	\$<u>xxx xxx</u>	\$<u>xxx</u>	\$<u>xx xxx xxx</u>



APPENDIX S.7A(1)

(1 of 2)

MONTHLY INTEREST ACCRUED COMPUTATION SCHEDULE**LOCAL LOANS**

This schedule is prepared monthly by the Senior Accountant Loans/Financial Accountant/Accounting Officer to provide the Management Accountant with the information regarding interest accrued payable on local loans for inclusion in the monthly management accounts. The Senior Accountant Loans/Financial Accountant/Accounting Officer prepares the schedule as follows:-

- Loan : Enters the name of the loan.
- Interest Accrued : Calculates the interest that has accrued during the
(Current Month) Month. This is done by:-
1. Obtaining the balance outstanding on the
loan and the interest rate from the Local
Loans Schedule (Appendix S.11).
 2. Performing the following calculation:-
Balance outstanding x interest rate per
annum (%)
x number of days in the month
365(or as per finance contract)
Rounds off the answer obtained to the
nearest whole number.
- Interest paid : Enter the amount of interest paid.



Interest Payment Dates : Enters the dates on which interest payments are due. This is obtained from the Loan Agreement.

Total : Casts each row of figures to obtain a total for each row.



APPENDIX S.7A (2)

(1 of 2)

MONTHLY INTEREST ACCRUED COMPUTATION SCHEDULE**FOREIGN LOANS**

This schedule is prepared monthly by the Senior Accountant Loans/Financial Accountant/Accounting Officer to provide the Management Accountant with the information regarding interest accrued payable on foreign loans for inclusion in the monthly management accounts. The Senior Accountant Loans/Financial Accountant/Accounting Officer prepares the schedule as follows:-

- Loan : Enters the name of the loan.
- Interest Accrued : Calculates the interest that has accrued during the
(Current Month) Month. This is done by:-
1. Obtaining the balance outstanding on the loan and the interest rate from the Foreign Loans Schedule (Appendix S.17).
 2. Performing the following calculation:-

$$\text{Balance outstanding} \times \text{interest rate per annum (\%)} \\ \times \text{number of days in the month since the} \\ \text{last interest payment if applicable}$$

$$365(\text{or as per finance contract})$$
 3. Convert the interest amount obtained to the reporting currency using applicable currency closing rate.



Rounds off the answer obtained to the nearest whole number.

Interest payments: Enter the amount of the interest paid in foreign currency and the reporting currency equivalents.

Interest Payment Dates : Enters the dates on which interest payments are due. This is obtained from the Loan Agreement.

Total : Casts each row of figures to obtain a total for each row.



APPENDIX S.7B

MONTHLY INTEREST ACCRUED COMPUTATION SCHEDULE

Local Loan Interest

LENDER	ORIGINAL AMOUNT	CAPITAL BALANCE 01-12-20XX	REPAYMENT DATE	RATE %	NO OF DAYS	INTEREST BALANCE B/F 01/12/20XX	DETAILS INTEREST ACCR FOR DEC 20XX	INTEREST PAID IN DEC 20XX	INTEREST ACCRUED AS AT 31/12/20XX
HEAD OFFICE									
MEGABONDS 19/1997	150000000	-	30/04 & 31/10	15.50	31	-	0.00	-	-
MEGABONDS 20/1998	225000000	-	30/04 & 31/10	15.50	31	-	0.00	-	-
MEGABONDS 20/1998	175000000	-	30/04 & 31/10	69.33	31	(0.01)	0.00	-	(0.01)
	550000000	-	-			(0.01)	-	-	-

APPENDIX S8**ZIMBABWE ELECTRICITY TRANSMISSION & DISTRIBUTION
COMPANY****TRANSMISSION DIVISION****LOCAL LOANS FOR THE MONTH ENDING 31 JANUARY 2022****GENERAL LEDGER A/C NO. 61000**

LENDER	CURRENCY	ORIGINAL LOAN AMOUNT	USD EQUIVALENT LOAN AMOUNT	ADDITI
POWER IMPORTS PAYMENTS				
Reserve Bank of Zimbabwe	USD	95,226,925.53	74,482,954.63	



GRAND TOTAL				

Prepared byDate.....

Checked byDate.....

ZIMBABWE ELECTRICITY TRANSMISSION & DISTRIBUTION
COMPANY
TRANSMISSION DIVISION
LOCAL LOANS FOR THE MONTH ENDING 28 FEBRUARY 2022

GENERAL LEDGER A/C NO. 61000

LENDER	CURRENCY	ORIGINAL LOAN AMOUNT	USD EQUIVALENT LOAN AMOUNT	ADDITI
POWER IMPORTS PAYMENTS Reserve Bank of Zimbabwe	USD	95,226,925.53	74,482,954.63	



GRAND TOTAL				
--------------------	--	--	--	--

Prepared byDate.....

Checked byDate.....

Foreign Loan Interest

ZESA FOREIGN LOANS FOR THE MONTH ENDING 21 OCTOBER 20XX

LENDER	CRNCY	LOAN AMT	FOREIGN CAP BAL AS AT 01.10.20XX	INTEREST RATE	NUMBER OF DAYS	FOREIGN INT BAL 01.10.20XX	FOREIGN INT ACCRUED OCTOBER	FOREIGN INTEREST PAID	FOREIGN INT BAL 31/10/XX	CROSS RATES 31.10.20XX	USD EQUIV INTEREST B 01.10.20XX	USD EQUIV INCURRED OCTOBER	PAYMENTS	USD EQUIV INT ACCRUED AS AT 31.10.20XX	REVALUED INTEREST BALANCE	EXCHANGE LOSS/(GAIN)
HEAD OFFICE	USD		8032287.94	1.72%	31	3814964.93	11733.74	0	3826698.67	1	3814964.93	11733.74	0	3826698.67	3826698.67	0
HEAD OFFICE(MIS)	USD		5560294.19	8.10%	31	3825773.15	38251.78	0	3864024.93	1	3825773.15	38251.78	0	3864024.93	3864024.93	0
											7640738.08	49985.52	0	7690723.6	7690723.6	0
TRANSPORT	USD		446238.21	1.72%	31	211942.75	651.87	0	212594.62	1	211942.75	651.87	0	212594.62	212594.62	0
TRANSPORT	USD		3521519.63	8.10%	31	2422989.63	24226.13	0	2447215.76	1	2422989.63	24226.13	0	2447215.76	2447215.76	0
											2634932.38	24878	0	2659810.38	2659810.38	0
GRAND TOTAL											10275670.5	74863.52	0	10350533.98	10350534	0



APPENDIX S.9A

QUARTERLY SCHEDULE OF LOCAL LOANS

This schedule is prepared quarterly for presentation to the Board of Directors; the Senior Accountant Loans/Financial Accountant/Accounting Officer retains one copy on file and gives one copy to the GFC/Finance Director who has as many copies made as required by the Board. The Senior Accountant Loans/Financial Accountant/Accounting Officer prepares the schedule as follows:-

Lender	:	Enters the name of the institution lending the money or in the case of ZESA/ZPC/ZETDC/Powertel/ZESA Enterprises Local Registered Stock the name of loan.
Amount	:	Enters the total amount of loan capital borrowed. Where applicable records a sub-total of each loan with the total at the end of the column.
Date Loan Received	:	Enters the year in which the loan was received.
Date of Final Redemption		Enters the day, month and year when the loan is to be fully repaid.
Rate of Interest	:	Enters the rate of interest according to the loan agreement, or most recent adjusted rate.
Total Redemption of Capital	:	Enters the total amount of the repayments made up to the date of the schedule. This figure is obtained by taking the value of the ‘Total Redemption of Capital’ from the preceding



schedule and then adding the value of any repayments made in the three months since the preceding schedule.

Balance Owing : Enters the balance owing at the date of the Schedule. This figure is obtained by subtracting the ‘Total Redemption of Capital’ from the ‘Amount’ of the loan.

Balance Owing : Adds up the balance owing totals to obtain the local loan liability.

Note: There is no figure to which this total can be reconciled until the year end when certificates of balance on the loans are obtained from the lenders and the amount owing confirmed.



APPENDIX S.10A

QUARTERLY SCHEDULE OF CONTINGENT LIABILITIES

This schedule is prepared quarterly by the Senior Accountant Loans/Financial Accountant/Accounting Officer and one copy is retained on file and the other copy sent to the Ministry of Energy and Power Development. It is a schedule of all Government guaranteed loans. The Senior Accountant Loans /Financial Accountant/Accounting Officer prepare the schedule as follows:-

- Guarantee Given to : Enters the name of the institution to whom the guarantee is given. Details of which loans are guaranteed and by whom, are found in the loan agreements.
- Authority : Enters details of the authority under which the guarantees are given. At present all authority is granted under the ‘State Loans and Guarantees Act (Cap.22.13)’.
- Date first given : Enters the date that the guarantee was first given.
- Security and Term : Enters details of the security backing the guarantee.
- Purpose : Enters the purpose for which the loan was established.
- Other Details : Enters further details regarding the type of loan and the purpose for which the loan was established.



Note: Enters any particular details related to the
loan.

Net Contingent : Enters the balance outstanding on the loan at the
Liability end of the current year (reporting currency)



APPENDIX L.1A

ZESA LOCAL REGISTERED STOCK LEDGER

The Stock Ledger records details concerning stockholders, the acquisition and transfer of stock and interest payments for each issue of Local Registered Stock.

The Stock Ledger comprises Ledger Sheets (Appendix L.1A), one for each stockholder, arranged in alphabetical order with a Transfer Sheet (Appendix F.4) at the front referencing all transfers of Stock.



APPENDIX L.3.A

CALL ACCOUNTS LEDGER – LOANS

This ledger is maintained by the Senior Accountant Loans//Financial Accountant/Accounting Officer to provide a record of the amounts drawdown on foreign loans and of the expenditure utilizing the foreign loans.

The ledger does not form part of the accounting system but the data in the ledger provides information of the amounts drawdown on the loans.

Example of each of these are provided on Appendix L.3.B.

The Senior Accountant Loans/Financial Accountant/Accounting Officer receives the Payment Certificates which authorizes payments on the projects. These are forwarded to the relevant institution for payment. Once payment has been made, confirmation of payment is sent to the Senior Accountant Loans/Financial Accountant/Accounting Officer who records the details in the call accounts ledger.

The Senior Accountant Loans//Financial Accountant/Accounting Officer uses the information in the ledger as a basis for preparing the monthly financial reports (Appendix S.22).

The Senior Accountant Loans//Financial Accountant/Accounting Officer uses the information to update the Foreign loans schedule (Appendix S.17).



APPENDICES

FORMS

F.1	ALLOTMENT LETTER
F.2	STOCK CERTIFICATE
F.3	TRANSFER FORM
F.4	REGISTER OF TRANSFER
F.5	CERTIFICATE OF NON-RESIDENTS TAX ON INTEREST (NRTI.2)
F.6	RECEIPT FOR NON-RESIDENTS TAX ON INTEREST (NRTI.1)
F.7	RECEIPT



APPENDICES

SUNDRY

- S.1 ZESA LOCAL REGISTERED STOCK PROSPECTUS
- S.2 SCHEDULE OF APPLICATIONS
- S.3 ALLOTMENT SCHEDULE (ALPHABETICAL)
- S.4A TRANSFER FORM STAMP
- S.4B STOCK CERTIFICATE 'CANCELLED' STAMP
- S.5 INTEREST SCHEDULE
- S.6 REPAYMENT SCHEDULE
- S.7 MONTHLY INTEREST ACCRUED COMPUTATION SCHEDULE
- S.9 QUARTERLY SCHEDULE OF LOCAL LOANS
- S.10 ANNUAL SCHEDULE OF CONTINGENT LIABILITIES
- S.11 MONTHLY LOCAL LOANS AND INTEREST SCHEDULE
- S.12 ANNUAL LOCAL LOANS AND INTEREST SUMMARY
- S.13 ANNUAL SCHEDULES TO THE ACCOUNTS
- S.14 QUARTERLY EXTERNAL LOANS – MINISTRY OF ENERGY & POWER DEVELOPMENT
- S.16 LOAN DRAWDOWN SCHEDULE
- S.17 FOREIGN LOANS SCHEDULE
- S.18 ANNUAL FOREIGN LOANS CAPITAL AND INTEREST SCHEDULE
- S.22 MONTHLY FINANCIAL REPORT



APPENDIX S.11A

(1 of 2)

LOCAL LOANS AND INTEREST SCHEDULE

This schedule is prepared monthly to provide a record of local loans received, repayments made, interest accrued, interest payments made and the resultant balances.

The Loans accountant prepares the schedule as follows:-

Lender	:	Enters the name of the institution lending the Money.
Original Amount	:	Enters the total amount of loan capital borrowed.
Date Loan Received	:	Enters the financial year during which the loan was received.
Date of Final Redemption:		Enters the financial year during which the loan will be fully repaid.

CAPITAL

Opening Balance	:	Enters the balance outstanding on the loan at the end of the previous month.
Additions	:	Enters the amount of any additional loan capital Borrowed/ drawdown during the course of the month.
Repayments	:	Enters the amount repaid on the loan during the month.



Closing Balance : Enters the balance outstanding on the loan at the end of the month

APPENDIX S.11A

(2 of 2)

INTEREST

Opening Balance : Enter the opening balance amount for interest accrued as at the end of the previous month.

Payment date : Enters the dates on which, or the frequency with which interest becomes due on the loan.

Rate : Enters the interest rate as per loan agreement.

Paid : Enters the amount of interest paid during the month.

Accrued : Enters the amount of interest accrued for the month. (see Appendix S.7)

Closing Balance : Opening balance + Interest accrued for the month—interest paid during the month.



APPENDIX S.11B

MONTHLY LOAN SCHEDULE

Loan Capital

					CAPITAL DETAILS			
LENDER	ORIGINAL	DATE	DATE OF	CAPITAL				
	AMOUNT	LOAN	FINAL	BALANCE	ADDITIONS	REPAYMENTS	BALANCE	
		RECEIVED	REDEMP	01/12/20XX			31/12/20XX	
HEAD OFFICE								
MEGABONDS 19/1997	150000000	1997		-	-		-	
MEGABONDS 20/1998	225000000	1998		-	-		-	
MEGABONDS 20/1998	175000000	1998		-	-		-	
	550000000							

Loan Interest

LENDER	ORIGINAL AMOUNT	CAPITAL BALANCE 01-12-20XX	REPAYMENT DATE	RATE %	NO OF DAYS	BALANCE B/F 01/12/20XX	INTEREST ACCR FOR DEC 20XX	INTEREST PAID IN DEC 20XX	INTEREST ACCRUED AS AT 31/12/20XX
HEAD OFFICE									
MEGABONDS 19/1997	150000000	-	30/04 & 31/10	15.50	31	-	0.00	-	-
MEGABONDS 19/1997	225000000	-	30/04 & 31/10	15.50	31	-	0.00	-	-
MEGABONDS 19/1997	175000000	-	30/04 & 31/10	69.33	31	(0.01)	0.00	-	(0.01)
	550000000	-	-			(0.01)	-	-	-



APPENDIX S.12A

(1 of 2)

ANNUAL LOCAL LOANS AND INTEREST SUMMARY

This schedule is prepared annually to assist in the preparation of the yearend financial statements providing information on capital repayments and interest payments made during the year, and the outstanding liability at year end. One copy is retained on file and one copy given to the Management Accountant.

The Loans accountant prepares the schedule as follows:-

- Lender : Enters the name of the institution lending the money.
- Original Amount : Enters the total amount of loan capital borrowed. Where applicable records a sub-total of each loan with a total at the end of the column.
- Date Loan Received : Enters the financial year during which the loan was received.
- Date of Final Redemption: Enters the financial year during which the loan will be fully repaid.

CAPITAL

- Opening Balance : Enters the balance outstanding on the loan at the end of the previous financial year.
- Additions : Enters the amount of any additional loan capital Borrowed/ drawdown during the course of the financial year.



Repayments : Enters the amount repaid on the loan during the

APPENDIX S.12A

(2 of 2)

course of the financial year.

Closing Balance : Enters the balance outstanding on the loan during the course of the financial year.

For each column, enters a sub-total for the loan, where applicable, and a total at the end of each column.

INTEREST

Opening Balance : Enter the opening balance amount for interest accrued as at the end of the previous financial year.

Payment date : Enters the dates on which, or the frequency with which interest becomes due on the loan.

Rate : Enters the interest rate at which interest was paid during the year, expressed as a percentage.

Paid : Enters the amount of interest paid during the course of the financial year.

Accrued (Year) : Enters the amount of interest accrued during the course of the year. (opening balance + accrued - payments)

Closing Balance : Opening balance + Interest accrued for the year – interest paid during the year.

For each column enters a sub-total for the loan, where applicable, and a total at the end of each column.



APPENDIX S.12.B

LOCAL LOANS & INTEREST SUMMARY

CAPITAL

					CAPITAL DETAILS			
LENDER	ORIGINAL	DATE	DATE OF	CAPITAL				
	AMOUNT	LOAN	FINAL	BALANCE		ADDITIONS	REPAYMENTS	BALANCE
		RECEIVED	REDEMT	01/12/20XX				31/12/20XX
HEAD OFFICE								
MEGABONDS 19/1997	150000000	1997		150,000.00	-		150,000.00	0
MEGABONDS 20/1998	225000000	1998		225,000.00	-		225,000.00	0
MEGABONDS 20/1998	175000000	1998		186,000.00	-		186,000.00	0
	550000000			561,500.00			561,500.00	

INTEREST

LENDER	ORIGINAL	DATE	DATE OF						
	AMOUNT	LOAN	FINAL	RATE	NO OF	BALANCE B/FWD	INTEREST ACCR	INTEREST PAID	INTEREST ACCRUED
		RECEIVED	REDEMT	%	DAYS	01/01/20XX	TO DECEMBER	UP TO DECEMBER	AS AT 31/12/20XX
HEAD OFFICE									
MEGABONDS 19/1997	150000000	1997		15.5	31	3875.00	19375.00	23250.00	-
MEGABONDS 20/1998	225000000	1998		15.5	31	5812.50	29062.50	34875.00	-
MEGABONDS 20/1998	175000000	1998		69.33	31	164120.00	(34819.56)	129300.44	(0.01)
	550000000								



APPENDIX S.13A

(1 of 2)

ANNUAL SCHEDULES TO THE ACCOUNTS

This schedule is prepared to provide the information required in the Notes to the Accounts in the annual financial statements i.e. the lender, the amount of the loan (foreign currency), the amount outstanding at the year- end (foreign currency) the amount outstanding at the year- end (US dollars), the amount outstanding at the previous year end (US dollars), details of when the loan is due for repayment and the interest rate.

The Senior Accountant Loans prepares the schedule as follows:-

Name of the Lender	:	Enters the name of the lender. Enters details of when the loan is repayable and the current interest rate.
Original loan amount	:	Enters the amount of the original loan in foreign currency stating the type of currency.
Amount Outstanding	:	Enters the amount in foreign currency of the loan outstanding at the end of the Financial year.
Reporting currency amount outstanding	:	Enters the amount in reporting currency of the loan outstanding at the end of the financial year.



APPENDIX S.13A

(2 of 2)

	:	Enters the amount in reporting currency of the loan outstanding at the end of the previous year.
Total Foreign loans	:	Casts the two columns of US\$ enters the total for each year.
Local Loans	:	Enters the name of the lender. Enters details of when the loan is repayable and the current interest rate.
Original Amount	:	Enters the amount originally borrowed under each loan classification.
Amount Outstanding	:	Enters the balance outstanding at the end of the current financial year for each loan classification and the and the previous year's balance.



APPENDIX S.13B

SCHEDULES TO THE ACCOUNTSFOR THE YEAR ENDED 31st DECEMBER 20XX

	Original Loan Facility	Outstanding as at 31/12/20XX	Interest rate	Repayment Period	CONSOLIDATED HISTORICAL COST DEC 20XX	CONSOLIDATED HISTORICAL COST DEC 20XX
			%		US\$	US\$
10.1 FOREIGN LOANS						
BALANCE BROUGHT FORWARD FROM PREVIOUS PAGE					238,669,430.00	238,651,017.00
KFW 2924	DEM 4979	EUR 2 230	7.38	2000-2004	2,887,088.00	2,977,421.00
KARIBA SOUTH UPRATING POWER PLAN V						
European Investment Bank	ecu 13 000	EUR 6005	3.90	1999-2010	7,773,460.00	7,760,124.00
Societe Generale	FRF 49 334	EUR 5 695	6.60	1999-2010	7,371,261.00	7,648,193.00
BULAWAYO POWER STATION REFURBISHMENT						
Lloyds Bank plc	GBP 5 626	GBP 5 184	8.06	1999-2009	7,992,627.00	8,011,809.00
Nordbanken	SEK 31 180	SEK 34 526	6.00	1999-2000	5,000,220.00	5,127,959.00
CATIC	USD 183 448	USD	6.40	2005-2008	9,547,242.00	6,833,359.00
NamPower	USD 40 000	USD 9547	6.40	2005-2008	17,160,861.00	26,609,959.00
World Delta	USD 750 067	USD 0	15.00	2007-2009	-	-
ZTE	USD2 489 678	USD 5 170	-	2007-2009	5,169,719.00	2,247,643.00
Huawei	USD 1 172 749	0	-	2007-2009	-	-
TOTAL FOREIGN LOANS					301,571,908.00	305,867,484.00
12.2 LOCAL LOANS						
Reserve Bank of Zimbabwe Government	USD 5 187	USD 105 187	-		100,413,524.00	100,413,524.00
BancABC	USD 5000	USD 50 983	5.00	2,010	50,982,587.00	20,939,941.00
CBZ	USD 10 000	USD 6870	13.99	2009-2011	6,870,292.00	3,647,168.00
		USD 10 000	11.00	2011-2014	10,000,000.00	1,875,000.00
TOTAL LOCAL LOANS					168,266,403.00	126,875,633.00
TOTAL LOANS					469,838,311.00	432,743,117.00
LESS CURRENT PORTION					(424,630,037.00)	(397,580,507.00)
TOTAL LONG TERM LOANS					45,208,274.00	35,162,610.00



APPENDIX S.14

(1 of 3)

QUARTERLY EXTERNAL LOANS REPORT

This schedule is prepared quarterly for submission to the Ministry of Energy and Power Development providing details of:-

- The amount of each loan registered;
- The lender;
- The amount of the loan drawn;
- The amount of the loan capital repaid;
- The amount of interest paid.

All amounts on the schedule are stated in the foreign currency applicable to the particular loan. The Senior Accountant Loans Financial Accountant/Accounting Officer prepares the schedule as follows:-

Loans Amount and : Enters the amount of the loan and the name of the lender from the Foreign Loans Schedule (Appendix S.17).

AMOUNT DRAWN

Current Qtr : Enters the amount, if any, drawn on the Loan during the current quarter.

To Date : Enters the total amount drawn on each loan From the beginning of the year to the end of the current quarter.



APPENDIX S.14

(2 of 3)

PRINCIPAL AMOUNT PAID

Current Quarter : Enters the amount of capital repaid during Quarter. This figure is obtained from the Foreign Loans Ledger.

To Date : Enters the total amount of capital repaid since the beginning of the year. To the end of the current quarter. This figure is obtained from the Foreign Loans Ledger.

INTEREST PAID

Current Quarter : Enters the amount of interest paid during the current quarter.

Generally the main ledger does not contain the information regarding interest paid at the time this schedule is prepared. The information is taken from the Cash Book Office records to obtain details of payments that have been made.

To Date : Adds the current quarter's interest total to The balance paid at the end of the previous Quarter. The figure obtained represents the



APPENDIX S.14

(3 of 3)

total interest paid from the beginning of the
year to the end of the current year.



APPENDIX S.16A

LOAN DRAWDOWN SCHEDULE

The loan drawdown schedule is prepared to record all loan disbursements and also show undrawn loan balances. The Senior Accountant Loans Financial Accountant/Accounting Officer compiles the table as follows:-

Lender	:	Enters the name of the institution lending the money
Loan Amount	:	Enters the loan reference number and loan amount.
Loan Agreement Date	:	Enters date loan agreement was last signed.
Date	:	Date when lender made the disbursement.
Beneficiary	:	Contractor to whom payment has been made.
Amount	:	Amount disbursed by lender.
Currency	:	Currency of amount disbursed by lender.
Exchange Rate	:	Exchange rate used to convert the disbursed amount to loan amount. (Lender does the conversion)
Loan Drawdown Amount:		The disbursed amount converted to loan amount.
Loan Undrawn Balance	:	Enters the amount of the loan available for drawdown after each drawdown.
		This figure is obtained by subtracting the Total drawn amount from the loan amount.



APPENDIX S.16B

DRAWDOWN SCHEDULELENDER:LOAN AMOUNT:LOAN AGREEMENT DATE:

DATE	BENEFICIARY	AMOUNT	CURRENCY	EXCHANGE RATE	LOAN DRAWDOWN AMOUNT	LOAN UNDRAWN BALANCE
TOTAL						



FOREIGN LOANS SCHEDULE

The Foreign Loans Schedule is maintained by the Senior Accountant Loans/Financial Accountant/Accounting Officer to provide a record of the foreign loans received, the repayments made and exchange differences.

The individual loan balances are reconciled annually to Certificates of balance obtained from the lender. The total of the foreign Loans is reconciled to the main Ledger monthly.

The Senior Accountant Loans Accountant/Financial Accountant/Accounting Officer carries out the following procedures:-

Lender	:	Enters the name of each institution or organization lending money.
		Note: enters a reference number for each loan that is not fully drawn to reference it to the table of these loans at the bottom of the schedule.
Loan/Currency amount	:	Enters the full amount of the loan as per the loan agreement and specifies the type of currency of the loan.
Date Loan Secured	:	Enters the date of commencement of the loan agreement.
Date of Repayments Commenced	:	Enters the date on which capital repayments on the loan began, or are due to begin



APPENDIX S.17A
(2 of 5)

according to the loan agreement.

Date of Final Repayment	:	The date according to the loan agreement on which the final repayment on the loan will be made.
Rate of Interest (PA)	:	Enters the annual rate of interest at which interest is to be raised on the loan.
Total Redemption of Capital as at xx/xx/xx	:	Enters the total amount of capital repayments made on the loan to the end of the month (stated in the foreign currency of the loan).
Amount Owing As at xx/xx/xx	:	Enters the amount on the loan (stated in the foreign currency of the loan). At the end of the month.



APPENDIX S.17A
(3 of 5)

MONTHLY

Capital

Converts the foreign loan balance to reporting currency using the applicable spot exchange rates.

Calculates the loss or gain in reporting currency on each loan for the month as follows:-

US\$

Balance at the beginning of the month xxx

Add: Total of drawdowns during the month, if any xx

Deduct: Total repayments during the month xx

Balance **xx**

Deduct: Convert the foreign currency balance

at the closing rate for the month xx

Loss/ (Gain) for the month xx



Interest

Converts the accrued interest for the month and accrued interest balance to reporting currency using closing spot exchange rates for that month applicable to the respective loans.

Calculates the loss or gain in reporting currency on each loan for the month as follows:-

Balance at the beginning of the month	xxx
Add: Total of interest accrued during the month	xx
Deduct: Total payments during the month	<u>xx</u>
Balance	xx
Deduct: Converted foreign currency interest balance	
at closing rate for the month	<u>xx</u>
Loss/ (Gain) for the month	xx



APPENDIX S.17A

(4 of 5)

Journal entries:

Capital

Debit	Exchange Loss or Asset under construction
Credit	Foreign Loan Capital

Interest

Debit	Exchange Loss or Asset under construction
Credit	Foreign Loan Interest accrual

Ensures that the balance carried forward on each loan agrees to the certificate of balance.

Adds all loans exchange losses and gains for the month to obtaining a net exchange difference figure, either a loss or a gain.

Prepares the loan schedule which details all capital payments and interest repayments for the month to ensure that all payments have been made.

Enters details relating to the repayments:-

<u>Date</u>	-	Enters the date of the repayment.
<u>Repayment</u>	-	Enters the amount of foreign currency purchased to repay the loan .
<u>Rate of Exchange (ROE)</u>	-	Enters the ROE at which the foreign Currency was purchased.
<u>Reporting Currency</u>	-	Enters the amount of reporting currency paid to the bank to purchase the foreign

APPENDIX S.17A
(5 of 5)

currency. Checks that the amount is correct using the exchange rate.

Note:

The following details relating to the repayments are kept by the Senior Accountant Loans//Financial Accountant/Accounting Officer:-

- Letter to the bank requesting the foreign currency.
- Copy of the payment containing the amount of the payment (reporting currency) and the exchange rate.

ANNUALLY

Obtains a certificate of balances from the lender for the end of the financial year.

Reconciles the loan balance for each loan to the certificate of balance.

Converts the liability of the loan in the foreign currency as per the certificate of balance to reporting currency using the rate of exchange applicable on the last day of the financial year.

Compare the new balance obtained with the balance on the schedule and make necessary adjustments and pass a journal to that effect.



APPENDIX S.17B

Capital Foreign Loan Schedule

LENDER	CURRENCY	LOAN AMOUNT	FOREIGN CAPITAL BALANCE AS AT	FOREIGN ADDITIONS	FOREIGN PAYMENTS	FOREIGN CAPITAL BALANCE AS AT	EXCHANGE RATE AS AT	US\$ EQUIVALENT CAPITAL BALANCE AS AT	ADDITIONS IN US\$	US\$ PAYMENTS FOR PERIOD	US\$ EQUIVALENT CAPITAL BALANCE AS AT	US\$ REVALUED BAL. AS AT	US\$ LOSS/(GAIN) UNREALISED FOR
			12/1/20XX	12/31/20XX	12/31/20XX	12/31/20XX	12/31/20XX	12/1/20XX	12/31/20XX	12/31/20XX	12/31/20XX	12/31/20XX	12/31/20XX
TRANSMISSION													
Finish Export Credit Limited	US\$	46,635	21,228,445.67	0.00	0.00	21,228,445.67	1.0000	21,228,445.67	-	0.00	21,228,445.67	21,228,445.67	0.00
European Investment Bank (ECU 8M)	EUR	ECU (8M)	1,456,478.56	0.00	0.00	1,456,478.56	1.1325	1,647,859.84	-	0.00	1,647,859.84	1,649,461.97	1,602.13
European Investment Bank (14914)	GBP	-	1,453,844.23	0.00	0.00	1,453,844.23	1.3602	1,935,793.59	-	0.00	1,935,793.59	1,962,980.48	27,186.89
European Investment Bank (ECU 18M)	USD	ECU (18 M)	3,038,888.50	0.00	0.00	3,038,888.50	1.0000	3,038,888.50	-	0.00	3,038,888.50	3,038,888.50	0.00
European Investment Bank (ECU 18M)	USD	ECU (18 M)	6,794,268.09	0.00	0.00	6,794,268.09	1.0000	6,794,268.09	-	0.00	6,794,268.09	6,794,268.09	0.00
European Investment Bank (15450)	GBP	-	741,131.55	0.00	0.00	741,131.55	1.3502	986,816.66	-	0.00	986,816.66	1,000,675.82	13,859.16
European Investment Bank (15450)	JPY	-	101,641,527.00	0.00	0.00	101,641,527.00	0.0087	898,965.44	-	0.00	898,965.44	883,109.84	(15,855.60)
								36,531,037.79	0.00	0.00	36,531,037.79	36,557,830.37	26,792.58
GOTA BANK NCC TRANSMISSION	USD	2,861,800	1,287,777.45	0.00	0.00	1,287,777.45	1.0000	1,287,777.45	-	0.00	1,287,777.45	1,287,777.45	0.00
E. I. B. LOAN 1.6914 Malimba Interconne	USD	ECU (37 M)	3,979,241.34	0.00	0.00	3,979,241.34	1.0000	3,979,241.34	-	0.00	3,979,241.34	3,979,241.34	0.00
E. I. B. LOAN 1.6914 Malimba Interconne	JPY	-	274,513,716.00	0.00	0.00	274,513,716.00	0.0087	2,427,928.32	-	0.00	2,427,928.32	2,385,105.49	(42,822.84)
E. I. B. LOAN 1.6914 Malimba Interconne	EUR	-	5,858,046.61	0.00	0.00	5,858,046.61	1.1325	6,627,793.93	-	0.00	6,627,793.93	6,634,237.79	6,443.85
E. I. B. LOAN 1.6914 Malimba Interconne	CHF	-	3,873,621.01	0.00	0.00	3,873,621.01	1.1338	4,205,429.39	-	0.00	4,205,429.39	4,391,860.56	186,431.17
WEST MERCHANT BANK	GBP	3,676	1,095,680.81	0.00	0.00	1,095,680.81	1.3502	1,458,899.00	-	0.00	1,458,899.00	1,479,388.23	20,489.23
BARCLAYS BANK PLC	EUR	FRF 36338	2,932,708.26	0.00	0.00	2,932,708.26	1.1325	3,318,066.13	-	0.00	3,318,066.13	3,321,292.10	3,225.98
								22,617,358.11	0.00	0.00	22,617,358.11	22,191,125.50	173,767.39
E. I. B. (ECU 17M) POWER IV Cahora Bassa	EUR	ECU (17 M)	3,091,090.66	0.00	0.00	3,091,090.66	1.1325	3,497,259.97	-	0.00	3,497,259.97	3,500,660.17	3,400.20
E. I. B. LOAN 1.7418 Cahora Bassa	USD	-	4,708,698.55	0.00	0.00	4,708,698.55	1.0000	4,708,698.55	-	0.00	4,708,698.55	4,708,698.55	0.00
E. I. B. LOAN 1.7418 Cahora Bassa	GBP	-	3,942,378.15	0.00	0.00	3,942,378.15	1.3502	5,249,276.51	-	0.00	5,249,276.51	5,322,998.98	73,722.47
E. I. B. LOAN 1.7418 Cahora Bassa	JPY	-	97,781,112.00	0.00	0.00	97,781,112.00	0.0087	864,822.11	-	0.00	864,822.11	849,588.72	(15,233.39)
FINNISH EXPORT CREDIT	USD	24,229	2,945,420.46	0.00	0.00	2,945,420.46	1.0000	2,945,420.46	-	0.00	2,945,420.46	2,945,420.46	0.00
								17,265,477.60	0.00	0.00	17,265,477.60	17,327,346.88	61,869.28
EIB (ECU 13M) 1.8352 Power V-Transmis	USD	-	1,578,648.91	0.00	0.00	1,578,648.91	1.0000	1,578,648.91	-	0.00	1,578,648.91	1,578,648.91	0.00
EIB (ECU 13M) 1.8352 Power V-Transmis	JPY	-	9,530,979.50	0.00	0.00	9,530,979.50	0.0087	84,296.46	-	0.00	84,296.46	82,809.67	(1,486.79)
EIB (ECU 13M) 1.8352 Power V-Transmis	EUR	-	44,362.10	0.00	0.00	44,362.10	1.1325	50,191.28	-	0.00	50,191.28	50,240.08	48.80
EIB (ECU 13M) 1.8352 Power V-Transmis	CHF	-	173,617.02	0.00	0.00	173,617.02	1.1338	188,488.79	-	0.00	188,488.79	196,844.69	8,355.91
								1,901,625.44	0.00	0.00	1,901,625.44	1,908,543.36	6,917.92
KFW 2923 (Sherwood Asset 10254)	EUR	2,545,527	2,296,901.57	0.00	0.00	2,296,901.57	1.1325	2,598,714.44	-	0.00	2,598,714.44	2,601,241.03	2,526.59
FFW 2924 (Marvel-Asset 10538)	EUR	2,411,743	2,230,444.65	0.00	0.00	2,230,444.65	1.1325	2,523,525.08	-	0.00	2,523,525.08	2,525,978.57	2,453.49
								5,122,239.51	0.00	0.00	5,122,239.51	5,127,219.59	4,980.08
IBRD Loan 2900& 3696 (Shangani Mine S	USD	90m	4,927,427.06	0.00	0.00	4,927,427.06	1.0000	4,927,427.06	-	0.00	4,927,427.06	4,927,427.06	0.00
GRAND TOTAL								89,052,942.96	0.00	0.00	89,052,942.96	89,327,270.21	274,327.25

Interest Foreign Loan Schedule

LENDER	CURRENCY	LOAN AMOUNT	FOREIGN CAPITAL BALANCE AS AT	INTEREST RATE	NUMBER OF DAYS	FOREIGN INTEREST BALANCE BIF	FOREIGN INTEREST INCURRED IN	FOREIGN INTEREST PAID IN	FOREIGN INTEREST BALANCE AS AT	EXCHANGE RATE AS AT	US\$ EQUIVALENT INTEREST BALANCE BIF	US\$ EQUIV. INTEREST INCURRED IN	EQUIVALENT PAYMENTS IN US\$	US\$ EQUIVALENT INTEREST ACCRUED AS AT	US\$ REVALUED INTEREST AS AT	LOSS/(GAIN) UNREALISED IN US\$
			12/1/20XX			12/1/20XX	12/1/20XX	12/1/20XX	12/1/20XX	12/1/20XX	12/1/20XX	12/1/20XX	12/1/20XX	12/1/20XX	12/1/20XX	12/1/20XX
Finish Export Credit Limited																
European Investment Bank (ECU 8M)	EUR	46,635.00	21,226,445.67	0.00%	31	14,508,448.78	-	0.00	14,508,448.78	1.0000	14,508,448.78	0.00	0.00	14,508,448.78	14,508,448.78	0.00
European Investment Bank (14914)	GBP	1,453,844.23	1,456,478.56	6.50%	30	1,974,969.67	7,889.26	0.00	1,982,859.13	1.2291	2,363,841.44	9,899.69	0.00	2,373,538.13	2,437,132.10	63,594.03
European Investment Bank (14914)	GBP	-	1,453,844.23	5.00%	30	1,517,075.01	6,057.68	0.00	1,523,132.69	1.3625	2,024,840.01	8,253.59	0.00	2,033,093.61	2,075,288.29	42,174.69
European Investment Bank (ECU 18M)	USD	3,038,888.50	3,038,888.50	5.00%	30	3,155,949.64	12,682.04	0.00	3,168,311.68	1.0000	3,155,949.64	12,682.04	0.00	3,168,311.68	3,168,311.68	0.00
European Investment Bank (ECU 18M)	USD	6,794,268.09	6,794,268.09	3.00%	30	4,256,516.97	16,985.67	0.00	4,273,502.64	1.0000	4,256,516.97	16,985.67	0.00	4,273,502.64	4,273,502.64	0.00
European Investment Bank (15450)	GBP	741,131.55	741,131.55	3.00%	30	464,987.80	1,852.83	0.00	466,840.63	1.3625	620,619.21	2,524.48	0.00	623,143.69	636,070.36	12,926.66
European Investment Bank (15450)	JPY	101,641,527.00	101,641,527.00	3.00%	30	64,564,710.88	254,103.82	0.00	64,708,814.70	0.0087	619,546.33	2,463.68	0.00	622,012.01	627,388.10	5,376.15
											27,548,464.40	52,386.15	0.00	27,726,122.00	27,726,122.00	124,071.52
GOTABANK NCC TRANSMISSION																
	USD	2,861,800.00	1,287,777.45	0.00%	30	6,531.65	-	0.00	6,531.65	1.0000	6,531.65	0.00	0.00	6,531.65	6,531.65	0.00
											6,531.65	0.00	0.00	6,531.65	6,531.65	0.00
E. I. B. LOAN 1.6914 Malimba Interconne																
ECU (37 M)	USD	3,979,241.34	3,979,241.34	3.00%	30	2,486,419.41	9,948.10	0.00	2,496,367.52	1.0000	2,486,419.41	9,948.10	0.00	2,496,367.52	2,496,367.52	0.00
	JPY	-	274,513,716.00	3.00%	30	173,403,052.65	686,284.29	0.00	174,089,336.94	0.0087	1,666,776.11	6,653.91	0.00	1,673,430.02	1,687,893.51	14,463.49
	EUR	-	5,858,046.61	3.00%	30	3,678,022.11	14,645.12	0.00	3,692,667.22	1.2291	4,402,224.06	18,000.31	0.00	4,420,224.97	4,538,657.28	118,432.31
	CHF	-	3,873,621.01	3.00%	30	2,424,972.19	9,684.05	0.00	2,434,658.24	1.1338	2,686,354.46	10,979.65	0.00	2,697,354.13	2,760,361.23	63,047.09
WEST MERCHANT BANK																
BARCLAYS BANK PLC	GBP	3,676.00	1,095,680.81	5.95%	30	1,463,129.27	5,432.75	0.00	1,466,582.02	1.3625	1,992,638.63	7,402.12	0.00	1,999,240.75	2,000,916.75	43,674.99
	EUR	FRF 36338	2,932,708.26	5.95%	30	3,739,868.67	14,541.35	0.00	3,754,150.02	1.2291	4,476,937.65	17,627.07	0.00	4,493,910.39	4,514,226.79	120,415.40
											17,676,590.02	70,956.67	0.00	17,741,467.70	18,088,441.08	357,833.32
E. I. B. (ECU 17M) POWER IV Cahora Bassa																
ECU (17 M)	EUR	3,091,090.66	3,091,090.66	4.40%	30	2,844,342.79	11,334.00	0.00	2,855,676.79	1.2291	3,464,360.88	13,930.62	0.00	3,478,354.50	3,520,973.34	91,587.84
	USD	-	4,717,267.96	4.40%	30	4,271,622.36	17,266.65	0.00	4,288,919.00	1.0000	4,271,622.36	17,266.65	0.00	4,288,919.00	4,288,919.00	0.00
	GBP	-	3,942,378.15	4.40%	30	3,692,692.19	14,455.39	0.00	3,692,147.58	1.3625	4,865,227.77	19,685.46	0.00	4,874,923.23	4,976,061.07	101,127.84
	JPY	-	98,005,699.25	4.40%	30	91,313,745.21	369,355.18	0.00	91,673,106.40	0.0087	877,721.38	3,484.15	0.00	881,265.54	888,821.99	7,616.45
	USD	24,229.00	2,945,420.46	7.85%	30	5,363,910.37	19,513.41	0.00	5,373,423.78	1.0000	5,363,910.37	19,513.41	0.00	5,373,423.78	5,373,423.78	0.00
											18,762,875.77	73,820.29	0.00	18,836,796.06	19,037,128.19	200,332.13
EIB (ECU 13M) 1.8352 Power V-Transmission																
ECU (13 M)	USD	-	1,578,100.99	3.90%	30	1,277,872.43	5,128.83	0.00	1,282,801.26	1.0000	1,277,872.43	5,128.83	0.00	1,282,801.26	1,282,801.26	0.00
	JPY	-	9,530,979.50	3.90%	30	7,831,137.07	30,975.68	0.00	7,862,112.75	0.0087	75,274.08	300.33	0.00	75,574.39	76,227.58	653.19
	EUR	-	44,362.10	3.90%	30	36,087.79	144.18	0.00	36,231.97	1.2291	43,193.47	177.21	0.00	43,370.68	44,532.71	1,162.03
	CHF	-	173,617.02	3.90%	30	139,973.28	584.26	0.00	140,537.53	1.1338	155,060.89	639.75	0.00	155,700.43	159,339.61	3,639.18
											1,551,280.65	6,246.11	0.00	1,557,446.73	1,562,981.15	5,644.40
KFW 2923 (Sherwood Asset 10254)																
EUR	2,545,526.96	2,296,901.57	2,296,901.57	7.16%	30	4,671,196.96	13,712.12	0.00	4,684,087.98	1.2291	5,697,807.68	22,840.45	0.00	5,707,607.68	5,730,240.00	126,412.32
FW22024 (Marvel -Asset 10238)																
EUR	2,411,743.35	2,238,444.65	2,238,444.65	7.38%	30	4,741,754.10	13,713.70	0.00	4,759,467.81	1.2291	5,675,405.48	18,685.51	0.00	5,692,261.00	5,844,946.00	152,684.41
											11,266,330.91	33,776.08	0.00	11,300,000.91	11,681,163.88	300,096.93
											6,643,623.95	33,776.22	0.00	6,677,415.02	6,717,415.00	43,789.00
BRD Loan 2000A 3696 (Shanghai Min Substator) WE POWER 111																
	90m	5,010,144.60	5,010,144.60	7.94%	31	6,643,623.80	33,786.22	0.00	6,677,415.02	1.0000	6,643,623.80	33,776.22	0.00	6,677,415.02	6,717,415.00	53,789.00
GRAND TOTAL																
											83,460,641.96	274,147.66	0.00	83,734,716.10	84,714,716.00	980,084.00



FOREIGN LOANS CAPITAL AND INTEREST SCHEDULE

FOR THE YEAR ENDING 31 DECEMBER (YEAR)

This schedule is prepared to summarise the transactions relating to foreign loans for the year i.e.

- Additions;
- Repayments;
- Exchange Losses/Gains;
- Accrued Interest

From the information in the Foreign Loans Schedule and from calculations made to estimate accrued interest the Senior Accountant Loans / Financial Accountant/Accounting Officer prepares the schedule as follows:-

Lender : Enters the name of the institution lending the money.

Capital Foreign Currency

All amounts under this heading are stated in the currency of the loans.

Loan Facility : Enters the total amount of the loan detailing the currency.

Capital Balance 01.12 (Previous year) : Enters the balance outstanding on the loan at the end of the previous year.

Additions : Enters the total of any amounts drawdown or raised on the loan during the year.

Repayments : Enters the total of all repayments of capital made



APPENDIX 18A

(2 of 5)

during the year.

Balance 31.12 : Balance outstanding on the loan as at the
(Current year) end of the year.

Capital converted to reporting currency

All amounts under this heading are stated in reporting currency, each column is cast and the total recorded.

Opening Balance : Enters the balance outstanding on the loan at the
end of the previous year.

Additions : Enters the reporting currency equivalents of total
amounts drawdown or raised on the loan
during the year.(The amount is converted at the
drawdown date exchange rate).

Repayments : Enters the total of all repayments of capital made
during the year converted to the reporting
currency.



APPENDIX 18A

(3 of 5)

Exchange Loss/(Gain)	:	Enters the exchange loss or gain for the year on the loan. This is calculated as follows:-	US\$
Balance at the beginning of the year			xxx
Add: Total of drawdowns during the year, if any			xx
Deduct: Total repayments during the year			<u>xx</u>
Balance			xx
Deduct: Converted foreign currency balance at the closing rate for the year			<u>xx</u>
Loss/(Gain) for the year			xx

Interest Foreign Currency

All amounts under this heading are stated in foreign currency, each column is cast and the total recorded at the foot.

Opening Balance	:	Enters the amount of interest accrued on the loan at the end of the previous year.
Paid (Current Year)	:	Enters the amount of interest paid on the loan during the year. This is



APPENDIX 18A

(4 of 5)

obtained from the schedules prepared throughout the year and agreed to the Main Ledger Interest Paid account.

Accrued (Current Year): This figure is obtained from monthly schedules

Closing Balance : This is obtained as follows:-

Opening Balance	xxx
Paid (Current Year)	(xxx)
Add: Accrued (Current Year)	xxx
Total Interest accrued	xxx

Interest converted to reporting currency

All amounts under this heading are stated in reporting currency, each column is cast and the total recorded.

Opening Balance : Enters the accrued interest balance outstanding on the loan at the end of the previous year.

Accrued current year: Enters the reporting currency equivalents of total amounts of interest accrued on loans during the year. (The amount is obtained from monthly schedules).

Payments : Enters the total of all payments of interest made during the year (The amount is obtained from monthly schedules).



APPENDIX 18A

(5 of 5)

Exchange Loss/ (Gain) : Enters the exchange loss or gain for the year on the loan interest. This is calculated as follows:-

US\$

Balance at the beginning of the year	xxx
--------------------------------------	-----

Add: Total of interest accrued during the year	xx
--	----

Deduct: Total payments during the year	<u>xx</u>
--	-----------

Balance	xx
---------	-----------

Deduct: Converted foreign currency interest balance	
---	--

at the closing rate for the year	<u>xx</u>
----------------------------------	-----------

Loss/ (Gain) for the year	xx
---------------------------	----



APPENDIX 18.B

ZIMBABWE ELECTRICITY SUPPLY AUTHORITY
FOREIGN LOANS & INTEREST – SUMMARY

Interest

ZESA FOREIGN LOANS FOR THE MONTH ENDING 21 OCTOBER 20XX

LENDER	CURRENCY	LOAN AMT	FOREIGN CAP BAL AS AT 01.10.20XX	INTEREST RATE	NUMBER OF DAYS	FOREIGN INT BAL 01.10.20XX	FOREIGN INT ACCRUED OCTOBER	FOREIGN INTEREST PAID	FOREIGN INT BAL 31/10/XX	CROSS RATES 31.10.20XX	USD EQUIV INTEREST B 01.10.20XX	USD EQUIV INCURRED OCTOBER	PAYMENTS	USD EQUIV INT ACCRUED AS AT 31.10.20XX	REVALUED INTEREST BALANCE	EXCHANGE LOSS/(GAIN)
HEAD OFFICE	USD		8032287.94	1.72%	31	3814964.93	11733.74	0	3826698.67	1	3814964.93	11733.74	0	3826698.67	3826698.67	0
HEAD OFFICE(MIS)	USD		5560294.19	8.10%	31	3825773.15	38251.78	0	3864024.93	1	3825773.15	38251.78	0	3864024.93	3864024.93	0
											7640738.08	49985.52	0	7690723.6	7690723.6	0
TRANSPORT	USD		446238.21	1.72%	31	211942.75	651.87	0	212594.62	1	211942.75	651.87	0	212594.62	212594.62	0
TRANSPORT	USD		3521519.63	8.10%	31	2422989.63	24226.13	0	2447215.76	1	2422989.63	24226.13	0	2447215.76	2447215.76	0
											2634932.38	24878	0	2659810.38	2659810.38	0
GRAND TOTAL											10275670.5	74863.52	0	10350533.98	10350534	0

Capital

ZESA FOREIGN LOANS FOR THE MONTH ENDING 21 OCTOBER 20XX

LENDER	CURRENCY	LOAN AMT	FOREIGN CAP BAL AS AT 01.10.20XX	INTEREST RATE	NUMBER OF DAYS	FOREIGN INT BAL 01.10.20XX	FOREIGN INT ACCRUED OCTOBER	FOREIGN INTEREST PAID	FOREIGN INT BAL 31/10/XX	CROSS RATES 31.10.20XX	USD EQUIV INTEREST B 01.10.20XX	USD EQUIV INCURRED OCTOBER	PAYMENTS	USD EQUIV INT ACCRUED AS AT 31.10.20XX	REVALUED INTEREST BALANCE	EXCHANGE LOSS/(GAIN)
HEAD OFFICE	USD		8032287.94	1.72%	31	3814964.93	11733.74	0	3826698.67	1	3814964.93	11733.74	0	3826698.67	3826698.67	0
HEAD OFFICE(MIS)	USD		5560294.19	8.10%	31	3825773.15	38251.78	0	3864024.93	1	3825773.15	38251.78	0	3864024.93	3864024.93	0
											7640738.08	49985.52	0	7690723.6	7690723.6	0
TRANSPORT	USD		446238.21	1.72%	31	211942.75	651.87	0	212594.62	1	211942.75	651.87	0	212594.62	212594.62	0
TRANSPORT	USD		3521519.63	8.10%	31	2422989.63	24226.13	0	2447215.76	1	2422989.63	24226.13	0	2447215.76	2447215.76	0
											2634932.38	24878	0	2659810.38	2659810.38	0
GRAND TOTAL											10275670.5	74863.52	0	10350533.98	10350534	0



APPENDIX S.22A

MONTHLY FINANCIAL REPORT

The financial report is prepared monthly to summarize the expenditure for the month on the various projects according to category, including the total of capital repayments and interest payments.

The Senior Accountant/ Financial Accountant/ Accounting Officer compiles one copy of the report using the information in the call Accounts Ledger – Loans (Appendix L.3) and the record of any local payments made by the accountant that relate to the projects.

The Senior Accountant/ Financial Accountant/ Accounting Officer uses the summaries of expenditure to monitor progress on the projects after which the report is filed.

HWANGE POWER STATIONMONTHLY FINANCIAL REPORTSUMMARY STAGE 1 FOR MONTH ENDED 31/10/XX

	US \$	US \$
Balance as at 30/9/XX		434 359 554,39
Mechanical	NIL	
Transmission	38 123,19	
Electrical	NIL	
Civil	NIL	
Engineering (M & M included)	NIL	
Total Stage 1 payments for the		
Month	38 123,19	38 123,19

Payments as at 31/10/XX		434 397 677,58
		=====

**STAGE 1****IN OCTOBER 20XX EXPENDITURE FOR VARIOUS****SECTIONS OF THE PROJECT WAS AS FOLLOWS:-**

Boiler Plant	NIL
Turbo – Generator Plant	NIL
Other Mechanical Plants	NIL
Electrical Equipment	NIL
Transmission	38 123,19
Civil Works	NIL
Total for the month	38 123,19
Expenditure	434 397 677,58